

Business Analytics Handbook

Volume 1 • Chapter 2

How Businesses Create Value

Core Framework

Every successful business follows the same high-level loop: identify a customer problem, create a solution, deliver it efficiently, capture value through revenue, and reinvest profits to grow. Analysts measure each stage and identify bottlenecks that limit growth.

Stage	Business Question	Example KPI
Acquire	Can we attract customers?	Website Traffic, CAC
Convert	Do visitors become customers?	Conversion Rate
Deliver	Can we fulfill efficiently?	On-time Delivery %
Retain	Do customers come back?	Retention Rate, Churn
Grow	Can we increase value?	CLV, AOV, Upsell Rate

Executive Insight

Executives don't optimize isolated KPIs. They optimize the entire value chain. Increasing traffic is meaningless if conversion or retention is poor.

Business Scenario

An online retailer doubled marketing spend and traffic increased by 40%, but profit declined. An analyst should investigate CAC, conversion, discounts, return rates, fulfillment costs, and repeat purchases before recommending further marketing investment.

Dashboard Blueprint

Top row: Revenue, Profit, Gross Margin, CLV. Middle: Traffic, Conversion, AOV. Bottom: Retention, Churn, Inventory Turnover, NPS.

Interview Challenge

Question: Revenue increased while profit decreased. List five hypotheses and explain which metrics you would check first and why.

Practice Exercise

Choose Amazon, Netflix, Uber, or another company. Draw its value chain and identify one KPI for each stage.